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New England's Forward Capacity Auction Closes with Adequate Power System Resources for 2027/2028

Holyoke, MA—February 9, 2024—New England's annual capacity auction closed with sufficient power system resources to meet forecast peak demand in 2027/2028. Nearly all of the new resources securing capacity supply obligations were energy storage, solar, wind, or demand-reducing resources.

ISO New England Inc. runs the auction each year to procure the resources needed to meet consumer demand for electricity three years later. Held this year on February 5, the 18th Forward Capacity Auction (FCA 18) closed after four rounds of competitive bidding.

The auction secured capacity commitments of 31,556 megawatts (MW) to be available in the 2027/2028 commitment period, at a preliminary price of $3.58 per kilowatt-month (kW-month) in all zones and import interfaces.

Last year's clearing prices ranged from $2.55 per kW-month to $2.59 per kW-month across different pricing locations.

Almost 1,085 MW of new renewable energy, energy storage, and demand-reducing resources secured obligations in FCA 18.

"The results of this year's auction reflect a competitive process and help ensure a reliable power system for all of New England's residents and businesses," said Peter Brandien, vice president of System Operations and Market Administration at ISO New England. "A diverse mix of resources cleared the auction, including traditional generators as well as energy storage, solar, wind, and demand response, reflecting the region's continuing clean energy transition."

Clean energy results

New and existing solar and wind generation, energy storage, and demand resources secured obligations totaling about 5,540 MW, accounting for about 18% of all capacity clearing the auction.

New solar generation and energy storage resources, or facilities combining the two, secured obligations totaling about 795 MW. This accounted for the majority of new generating resources, which also included about 185 MW of new wind resources.

Forward Capacity Auction basics

The annual auction of the Forward Capacity Market is held three years before each capacity commitment period. Capacity resources can include traditional power plants, renewable generation, imports, and demand resources such as load management and energy efficiency measures.

Resources that clear in the auction receive a monthly capacity payment in that future year in exchange for their commitment to provide power or curtail demand when called upon by the ISO. Resources that fail to meet their capacity commitment during a capacity scarcity condition must refund part of their capacity payment. This refunded money goes to resources that over-perform during the scarcity event.

The capacity market is separate from the energy markets, where resources with and without capacity commitments compete each day to provide power and are paid for the electricity they produce.

FCA 18 by the numbers

- The total value of the capacity market in 2027/2028 will be approximately $1.3 billion (preliminary estimate)